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RCEP: a strategic opportunity for multilateralism

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ABSTRACT
East Asia's Regional Comprehensive Economic Partnership (RCEP) agreement was concluded in a time of heightened uncertainty in the global economy and in the middle of the largest economic downturn in almost a century from a pandemic-induced global recession. The agreement consolidated the 10 member ASEAN's free trade agreements with Australia and New Zealand, and the three northeast Asian economic powers China, Japan and South Korea. RCEP's economic cooperation agenda incorporates ASEAN processes which go beyond helping countries to implement the agreement and has potential to expand cooperation to new areas. This economic cooperation process makes RCEP a living agreement that can serve the needs of members as they evolve. It can also be used to embrace non-RCEP members, especially India, around particular agendas. The agreement is an important opportunity for China to use the RCEP framework to trial reforms and demonstrate its commitment to broader international multilateral liberalisation and economic cooperation.

KEYWORDS
International economic integration; East Asia; multilateral trade order

Introduction

East Asia's Regional Comprehensive Economic Partnership (RCEP) agreement was concluded in a time of heightened uncertainty in the global economy and in the middle of the largest economic downturn in almost 100 years from a pandemic-induced recession. The conclusion of RCEP – the world's largest regional economic agreement measured in terms of its coverage of GDP, population and trade – would have been important to the global economy at any time but is even more so in the context of rising protectionism in the North Atlantic, a trade war between China and the United States and the protectionist pressures from the COVID-19 pandemic that have put the global trade regime under extreme pressure.

The agreement consolidated the 10 member ASEAN's free trade agreements with Australia and New Zealand, and the three northeast Asian economic powers China, Japan and South Korea. At the time of its conclusion in late 2020, the grouping made up 30% of global GDP, 28% of global trade and 30% of world population. India walked away from the agreement on the eve of its political conclusion in November 2019.

RCEP was negotiated in parallel to the Trans-Pacific Partnership (TPP) agreement and has been compared with that agreement since both negotiations began. The TPP

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negotiations concluded in late 2016 and included Australia, Japan, Peru, Malaysia, Vietnam, New Zealand, Chile, Singapore, Canada, Mexico, Brunei Darussalam, and the United States. In 2017 US President Donald Trump withdrew the United States from the TPP and the remaining membership salvaged the agreement in the form of the Comprehensive and Progressive agreement towards the TPP (CPTPP) (Australian Department of Foreign Affairs and Trade, 2016).

The TPP was said to have higher standards than RCEP given the US-led push for stronger intellectual property protections, stricter rules on state-owned enterprises and other rules more suited to developed economies. The CPTPP included exemptions from those stricter rules for many countries yet retains measures on labour and environmental standards that are not included in the RCEP agreement. RCEP is liberalising for its members and did commit countries to new rules where none existed before. Many of the provisions go further than the TPP. There is only one rule of origin in RCEP, vastly simplifying the application of preferential tariffs in regional trade that has the potential to deepen and expand regional value chains.

In terms of market access, RCEP will eliminate tariffs and quotas on over 90% of goods trade. Member economies have also agreed to reduce or completely eliminate custom duties levied on goods that originate in the grouping over the next 20 years. RCEP also sets out the liberalisation of services trade with specific measures in telecommunications, financial services and professional services. Countries have scheduled services and investment commitments through a 'negative list' approach. Any liberalisation is then protected by 'ratchet clauses' that prevent a roll-back on policy commitments (Prime Minister and Cabinet, 2020).

In the digital economy, RCEP includes a chapter for multilateral rules and liberalisation of e-commerce with an eye to privacy and consumer protection. The Agreement commits RCEP members to maintain the practice of not imposing customs duties on electronic transmissions between member states. There are also provisions to prevent data localisation requirements, even if there are broad exemptions for national security and 'legitimate' public policy objectives. RCEP does not feature an Investor-State Dispute Mechanism (ISDS) mechanism although the parties have agreed to review these five years after ratification. RCEP goes beyond existing ASEAN Plus One FTAs by including provisions in areas, such as government procurement.

This paper reviews the strategic significance of the RCEP agreement, examines the potential of the agreement for new rule-making and economic cooperation in the region, and suggests ways to expand membership, including by keeping India engaged.

The next section discusses the context within which RCEP was concluded and the importance of the agreement to the multilateral trading system. RCEP is often and incorrectly said to have been China-led or China-centered and the section after explains the relevance of ASEAN centrality for the agreement, including its origins in Indonesia and the leadership of ASEAN towards its conclusion. The paper then explores the potential of the economic cooperation agenda, which is a central pillar of the agreement. The economic cooperation agenda can go well beyond helping countries with implementation of the agreement to expand cooperation to new areas where principles of cooperation and interaction in new areas can be decided and consensus can be forged. The cooperation framework can help the RCEP group make progress in areas that are not

suited to negotiation, such as cooperation on recovery from the coronavirus pandemic and the regulation of the increasingly important digital economy. The economic cooperation process makes the agreement a living agreement that can serve the economic cooperation needs of RCEP members as they evolve. It can also be used to invite the participation of non-RCEP members, especially India, around particular agendas.

Changes in global economic power and the international system

The global order has changed in ways that threaten the shared prosperity and security that have been promoted over the past 50 years by Asia's economic cooperation arrangements, such as ASEAN, APEC and the East Asian arrangements. The change is a product of big shifts in the structure of global power, with the rise of China and other emerging economies now a cause of considerable disquiet among the established powers (Drysdale, King, and Triggs, 2021).

The huge growth of the Chinese economy has required substantial adjustments in other countries. Many countries in East Asia have fared better in response to China's economic rise than countries in other parts of the world. Southeast Asia has made the most of the opportunities that a growing China presents and has benefited from the expansion of global value chains that ASEAN's economic cooperation agenda helped realise. Australia, like other resource-rich countries, has also benefited enormously from the commodities boom that China's industrialisation brought – with the exchange rate absorbing much of the shock and macroeconomic policies maintaining full employment.

The Northeast Asian economies, such as Japan, South Korea, and Taiwan, have become more closely integrated with the Chinese economy and that has helped drive the development of regional supply chains. Not all countries have managed the adjustment to the China shock as well as East Asia.

In the United States, the impact of Chinese import growth, among other things, has put pressure on lower-end manufacturing activities and employment. The policies and institutions needed to cope with these social and economic pressures have been inadequate to the task and provided fertile ground for unleashing the populist protectionist sentiment and politics given full rein under the Trump administration. The forces that have led the United States into a retreat from global economic leadership are unlikely to be reversed soon as the pressures of domestic adjustment in the United States continue to trump commitment to foreign economic leadership. Asia cannot wait for the United States to return to its more familiar global leadership role. An open Asia will bring positive spillovers to North America and Europe.

Adjustments to the shift in global economic power around the rise of China in Asia were made harder with the rise in protectionism in the United States and the fracture in the European Union. The multilateral economic regime is under threat and with it, Asia's economic and political security. These adjustments have been made harder still by heightened geopolitical tensions between China and the United States and its allies.

The response to these changes and a withdrawal from globalisation are reflected in the surge in protectionism and a retreat from multilateralism. This is exemplified in Europe through Brexit, by the Trump administration's 'America First' policies on trade and investment, in China's reciprocated response to US protectionist policies, and a raft of negative regional and bilateral actions. Developments in Asia and the Pacific – the US–

China trade and technology war and tensions between South Korea and Japan – make it clear that frameworks for cooperation are badly broken.

These conflicts and trade-destroying strategies completely ignore or circumvent the established rules of international trade. Those rules have been in place and evolved since Bretton Woods institutions were created and were strengthened when the World Trade Organization (WTO) was created in 1995. While there are big gaps in the rules and new issues to be dealt with, strategies that effectively tear down the established rules corrode the open multilateral order.

These developments have undermined trade and investment flows, disrupted supply chains, and caused long-term damage to the confidence and predictability that underpin cross-border commerce. The downturn in global foreign direct investment (which dropped 23% in 2017 and 18% in 2018) illustrates the impact of the retreat of confidence in the international trading system before the impact of the COVID-19 pandemic added further to the problem (Drysdale and Pangestu, 2019a).

The weight and importance that Asia now has in the multilateral system suggests that leadership to preserve and strengthen that global system must come from within that region. No one country can lead in Asia, which has several large powers with divergent interests. But Asian collective leadership is critical to global economic policy outcomes now and is at the core of the interests of the Association of Southeast Asian Nations (ASEAN).

ASEAN centrality has been an organising framework for Asian economic policy cooperation over the past half century. The retreat of the United States under President Trump from its leadership of the global economic order; the rise of China with its assertive stance on the South China Sea and its strategically challenging Belt and Road Initiative; a putative 'Quad' configuration of Indo-Pacific powers around the United States, India, Japan and Australia; and the continuing North Korea crisis all present significant difficulties for ASEAN's central role in the region.

ASEAN centrality

When ASEAN initiated RCEP, its core ambition was to protect and extend the centrality of ASEAN in Asia Pacific economic and political cooperation.

ASEAN remains central to broader regional cooperation and institution building. The process of its economic integration underpins its centrality in Asian affairs. RCEP is important for entrenching and expanding its centrality for ASEAN. RCEP is crucial for ASEAN's capacity to manage its economic and political security interests with its large neighbours in the region. The existing regional institutions and processes will be made more effective if there is more cohesion in their agendas and memberships. Better connecting existing regional economic and political cooperation arrangements will help ASEAN and its partners navigate and manage the present and future challenges to regional prosperity (Drysdale, Narjoko, and Sta Maria, 2021).

Regional cooperation arrangements, such as APEC, the ASEAN plus frameworks or the RCEP arrangement are not hardwired institutionally into ASEAN. But they were born of the same parentage and are genetically inseparable from the principles and practices that sustain ASEAN's success economically and politically (Drysdale 2017). RCEP was designed by ASEAN policy strategists to buttress regional trade

reform and lift Asia's growth potential in the global economy. At the time of its conclusion, RCEP was the only active, credible multilateral endeavour anywhere in the world positioned to deliver a significant push-back on the retreat from globalisation.

ASEAN pursued ASEAN centrality mainly by establishing free trade agreement networks with its dialogue partners. The RCEP framework is an extension of that framework and mechanism. It is strategically linked to the AEC Blueprint 2025 (Armstrong, Drysdale, and Tay, 2019).

RCEP is not simply another free trade and investment arrangement. It incorporates an important cooperation agenda, an essential element in building capacity for economic reform and mutually reinforcing regional development over time (Armstrong, Drysdale, and Tay, 2019). Its cooperation agenda has a political and security pay-off that will assist in ameliorating regional tensions and managing relations with bigger powers, like China, Japan, and perhaps eventually India (on geo-economic issues such as the Belt and Road initiative (BRI) for investment in connectivity and geo-strategic territorial issues). It facilitates collective leadership, ASEAN centrality, and strengthening the ASEAN institutional ecosystem and its dealings with those outside it, like the United States and Europe (in staking out Asia's interest and claims to ownership in and support of the global public good of an open economy).

With ASEAN at its core, the 15-member RCEP grouping is the first inclusive regional effort at a binding economic agreement. Often mistakenly described as China-led because of the dominant size of the Chinese economy, it is in reality centred on the ASEAN+1 free trade agreements with the five members of Australia and New Zealand, China, Japan and South Korea (Armstrong, Drysdale, and Tay, 2019). The ASEAN economic integration process has led to Southeast Asia's deep integration within the global economy, especially with its large neighbours, China and Japan. Intra-regional trade shares have been low in ASEAN since its foundation and remain so because the opening up and reforms have been outward-oriented and have not provided deep preferential treatment to other ASEAN members. The open regionalism that ASEAN has achieved is built around realising comparative advantage in global value chains and relies on open external markets.

RCEP will only go as far as ASEAN will. It will be difficult for any of the plus 5 members to push ASEAN or the other members too far in making commitments. The ASEAN cooperative framework with capacity-building may not appear to be meeting all the targets and commitments, but in some cases it is exceeding them on the ground. In addition, its mode of cooperation has led to a sustainable integration process. There may be frustration about the slow pace of reform and integration within ASEAN, but the region has made substantial progress in economic opening and reform.

Having a committed and ambitious ASEAN will be necessary for the success of RCEP. Building a framework that provides the venue and forum for making further commitments and achieving ongoing cooperation goals is a collateral and important benefit.

RCEP in brief

In terms of its sheer scale, RCEP is a very important agreement. It is the biggest regional trade agreement there has ever been in the world. It has a large share in the global

economy, it includes all the major trading nations in East Asia, and it is more than twice the size of the CPTPP in terms of the scale of the economies involved and trade volume. It is not just a trade arrangement; it is an economic cooperation arrangement, so it incorporates elements which will see the partners continuing to deepen the economic integration between their economies.

While the RCEP agreement does not have some of the disciplines of other agreements, such as CPTPP, for example, it does go further in many areas and it does represent a big commitment to liberalisation. The difference between this agreement and many free trade agreements is that the developing countries in the arrangement can phase in their liberalisation over quite a long period of time, in some cases up to 20 years. Yet the agreement still ensures the endpoint of substantial liberalisation while recognising the wide range of economic development and market conditions found in member economies. Indeed, RCEP provisions on government procurement, intellectual property, and the digital economy signal the willingness of member states to commit to a shared 'rule book' for emerging areas of trade despite bilateral disagreements and intersecting FTAs.

RCEP extends the ASEAN + 1 free trade agreements with each of its partners in the region significantly. It means a much larger proportion of trade within the region is now subject to low tariffs or no tariffs. It is comprehensive for about 90% of trade, and that proportion was as low as 60% in some of the bilateral ASEAN arrangements with regional partners. For particular countries, especially China, Korea and Japan, which did not have any free trade agreement among them prior to RCEP (except a low standard agreement between China and South Korea), there is significant liberalisation too.

More specifically, the RCEP agreement spans 20 chapters with provisions across the trade in goods and services, trade facilitation, rules of origin, investment and intellectual property. The removal of tariffs and customs duties is accompanied by common rules of origin for all tradable goods. The RCEP rules of origin, alongside the cumulation rule – allowing originating goods from one member state to be considered as originating in a second member state – will encourage the growth of regional value chains and cross-sharing of resources between the 15 member economies through production networks. Under this arrangement, inputs from South Korea, Australia and Japan that have value-added in Southeast Asia or China, for example, will count as originating in 'RCEP' for further import and processing in RCEP members (ADB, 2020), enhancing trade between and among North and Southeast Asian economies.

The agreement includes provisions that extend the scope for liberalisation in trade in services. The 'negative list' approach exposes all sectors to foreign competition unless specifically excluded. These market accesses, most favoured nation (to treat foreign suppliers at least as well as suppliers and investors of any other non-RCEP country), national treatment (to treat local and foreign suppliers equally) and local presence provisions for services go beyond existing FTAs; at least 65% of service sectors will be fully open. Measures protecting sectors of national security and technological importance are complemented by a chapter on transparency in public procurement, particularly in telecommunications. Indeed, the section on public procurement goes beyond that of existing ASEAN + 1 arrangements and RCEP is the first agreement in which Indonesia, the Philippines and Thailand have made commitments of this kind (Asian Development Bank 2020).

The chapter on investment goes beyond countries' WTO obligations in several respects, yet rejects an Investor State Dispute (ISDS) mechanism for resolving disputes.

Foreign investors will receive most favoured nation access and national treatment. Countries such as China have for the first time signed onto 'negative list' commitments on foreign investment in non-services sectors such as manufacturing and mining (PM&C, 2020). The agreement also includes provisions that prevent 'performance requirements' in respect of local content and technology transfer in exchange for market access. The RCEP provisions on intellectual property are an upgrade on the protections under ASEAN+1 FTAs, mainly by requiring members to accede to multilateral agreements with intellectual property commitments, such as the Paris Convention or the WIPO Copyright Treaty.

On the digital economy, RCEP sets out a framework for the digitalisation of trade and addresses cybersecurity, consumer and privacy concerns in e-commerce. These provisions are similar to those in the CPTPP in that they commit members to the regulation of personal data and maintain the current practice of refraining from imposing customs duties on electronic transmission between member states. Although the agreement nominally prohibits members from preventing cross-border data and information flows, there are strong national security and public policy carve-outs for doing so.

Provisions to liberalise goods, services and investment are reinforced by provisions to eliminate non-tariff barriers and promote 'mutual understanding' between members about customs, technical standards, and other regulatory barriers that might otherwise impose administrative or transaction costs on businesses.

The trade gain within the region is conservatively estimated to be in the order of US $438 billion through to 2030 (Petri and Plummer, 2020). It is likely to be much higher. For countries not in the arrangement, the loss through trade diversion is estimated at US $48 billion. Overall, that is a significant net benefit, but there are some countries and some industries outside the region from which trade will be diverted.

Within the region, lower value-add producers in China will suffer as a consequence of the shift of production to lower labor-cost countries in Southeast Asia. But more sophisticated manufacturing and higher value-add exports from China should expand under the arrangement. There will be some big adjustments over time, which will tend to follow where comparative advantage lies across the region and that will boost incomes and economic growth.

Multilateral framework for cooperation

Despite the withdrawal of India and the United States' not being a member, RCEP is an important vehicle for pushback against a fracturing of the global trading system.

Multilateral cooperation and global institutions have never been more important than now. The impact of RECP's contribution to reinforcing as a big initiative that buttresses multilateralism and entrenches institutions for multilateral cooperation when they are under threat is significant. But perhaps more important still is the locus of RCEP in ASEAN in constraining big power behaviour that might damage and weaken the global trade regime (Drysdale and Pangestu, 2019b).

The institutionalisation of Asia's RCEP can help in managing these dangers. The nature of its structure and rules mean that RCEP will further encourage the development of Asia-wide supply chains. But the effects of RCEP have the potential to be much more important than its role as the world's biggest free trade area.

RCEP's institutional setting within ASEAN will, because of ASEAN's nature, reinforce its inclusive character and encourage its multilateral orientation and role. RCEP's economic cooperation agenda provides a platform for sorting through some of the most important issues that confront economic diplomacy in the region today. Doing this will be helped by the fact that RCEP involves not just a once-off trade agreement. It includes a set of processes which will establish a secretariat in order to manage the gradual liberalisation which RCEP will bring about.

That secretariat will, inevitably, become a platform from which this Asia-wide liberalisation and integration is managed, and a coordination mechanism for the economic cooperation process, which is a pillar of RCEP. It also has the potential to deal with, and manage, many economic processes such as those related to infrastructure investment, including China's Belt and Road initiative. Internationalisation of the Belt and Road initiative might be something that China would wish to encourage in this context. We can expect big changes through the economic cooperation agenda that RCEP can help to manage.

Like all ASEAN-led agreements, RCEP includes a chapter with institutional provisions that promote its evolution. The ASEAN Secretariat will provide the locus of coordination among members. There is provision for regular ministerial meetings, joint committees of senior officials and subsidiary committees. Officials are mandated to establish a secretariat for these purposes and provide technical support. While these secretariat functions are modest, they establish a framework that can evolve and develop as required.

Regular ministerial level and leader level meetings of RCEP around the ASEAN + summits will reduce political uncertainties and build a foundation for political cooperation. Indeed, the agreement stipulates that RCEP Ministers meet at least annually to consider matters concerning the agreement (RCEP, 2020). A Joint Committee will establish four subsidiary bodies: the Committee on Goods, the Committee on Services and Investment, the Committee on Sustainable Growth and the Committee on the Business Environment (RCEP Secretariat, 2020). While these bodies will oversee the implementation of the agreement, they also provide an outlet for discussions about matters related to the economic and political architecture of the Asia Pacific.

RCEP's anchor in these ASEAN institutional arrangements is important insulation for the agreement from today's geopolitical competition across the region, especially given that China is a participant in the agreement and the United States is not. It reinforces ASEAN's neutral broker role within the region. It also provides scope for ASEAN to mediate RCEP cooperation with other regional arrangements linked to ASEAN itself or with a broader regional compass, such as APEC. And it potentially enlarges ASEAN's and Asia's voice in global forums, such as the WTO and the G20, for the multilateral cause.

The economic cooperation agenda

The economic cooperation agenda in RCEP has the potential to be the element in the RCEP agreement that helps deliver most on market access and stronger rules, as well as deepening cooperation between the economies. Economic and technical cooperation is often understood narrowly to be capacity building for developing countries, but building off the experience in East Asia, it can also contribute to the development of a strategic

framework that helps tackle broader reforms and builds institutional capacity, mutual trust, enhances economic policy deliberations and political cooperation among members. This was the objective of the economic cooperation agenda in RCEP from its origins in ASEAN.

Economic cooperation can support the implementation and the realisation of the benefits of market access commitments, the domestic institution-building required by rules commitments, and the ongoing engagement between member economies that is essential if a trade agreement like RCEP is to be a living and evolving framework for strengthened economic integration. Including economic cooperation in RCEP, as a key part of the outcome, will be one of the main determinants of how important the agreement is in supporting economic growth and development in the region.

The guiding principles for RCEP include economic and technical cooperation as a core feature of the agreement that aims 'at narrowing development gaps among the parties and maximising mutual benefits from the implementation of the RCEP agreement'. Economic and technical cooperation in RCEP will build on existing economic cooperation arrangements between ASEAN and its FTA partners.

East Asia has experience in building economic cooperation through ASEAN, APEC and the AANZFTA agreement. These arrangements include mechanisms that allow officials and to a lesser extent businesses, and other stakeholders, to interact routinely, build familiarity and understanding and ultimately to build trust. The interactions go beyond agreements in FTAs to consult, which often require one party to initiate consultation. That requires structured economic consultation and cooperation on a continuing and regular basis.

The implementation of RCEP commitments and deepening economic integration can help build understanding of how to deal with the barriers in each country to progressing domestic reforms, including trade and investment barriers, conflicting policy priorities, sensitivities, and preoccupations. RCEP's economic cooperation agenda can importantly help to socialise useful ideas and policy strategies that are not otherwise familiar to partners. Policy strategy convergence is an objective that can be achieved over time. Members of APEC built up common understandings over time of the importance of openness and progressively removing barriers to trade.

Not all aspects of economic integration can or should be negotiated between countries. Many behind-the-border issues are deeply embedded in domestic institutions and regulatory structures. To build community support to change them requires longer timeframes, capacity and understanding of their interlinkages with other policies.

One example of a new issue where AANZFTA economic cooperation has had success in capacity building is in the field of competition policy, through the 2015–2025 Competition Law Implementation Program. It has only been in recent years that many ASEAN Member States have adopted competition laws and established competition authorities. Cambodia still does not have a competition law, though it is expected to be legislated in mid-2021.

Another example of successful economic cooperation is in APEC, where officials meet routinely to share policy reform experience, find common interests, and find external support – via peer pressure, the demonstration effect or by undertaking reforms in concert – for domestic reform.

ASEAN was able to multilateralise its FTA preferences over time through a process of deepening interaction, dialogue and cooperation. That has helped ASEAN's integration into the global economy and the growth of value-chains in East Asia. ASEAN sets non-binding targets that member countries are assessed against – in the same way that APEC and G20 member commitments are subject to public review – and while many fall short of timetables and standards, the direction of reform is set, made clear in a process that is flexible and allows for changed circumstances.

The diversity among RCEP members, with economies at different stages of development and with different institutional and political systems, means that gains from integration are larger. This circumstance requires creative approaches for dealing with the differences and making opportunities to build capacity to the benefit of the entire RCEP group and its integration into the global economy.

There are many issues that require cooperation across East and Southeast Asia. Most of them cannot be dealt with in a negotiating framework. For example, regional approaches to cross-border infrastructure and energy transition require detailed consideration and consultation among relevant experts and stakeholders, and deeper consultation and confidence building over time among regional countries. Building thicker interaction at the policy level will also help to build political as well as economic cooperation.

Issues such as the creation of stronger social safety nets and undertaking difficult reforms can be promoted through sharing experience, capacity building, and sometimes the use of external pressure. The economic cooperation agenda in RCEP has the potential to bring large gains over time beyond the negotiated market access and rules commitments of a free trade agreement if the cooperation framework is properly framed.

Many countries cannot easily identify or deal with non-tariff barriers in their own economies, and not all are barriers to integration but are an essential part of good governance in the public interest. Some non-tariff trade barriers can be dealt with in a negotiating framework, but many will need to be dealt with in a purely domestic setting with domestically initiated reform packages. The economic cooperation agenda can help this process.

The economic cooperation agenda would benefit from avoiding exclusion of the interests of non-RCEP members given the global interests of RCEP economies. A core focus of RCEP must be on the grouping's membership but that should not exclude the participation of others where relevant and where agreement can be forged over time.

COVID-19 recovery

Asian economies will be central to the recovery from the COVID-19 crisis because of the weight and potential they have in the world economy. Struck down by the virus first, they are now positioned to restart their economies sooner. Asia can lead the exit from the COVID-19 crisis and be a vital driver of the global economic recovery. RCEP reinforces this claim to economic leadership by pioneering regional value chains and trade openness, both of which have been hampered by ongoing vaccine protectionism and supply chain insecurity that have slowed the global vaccine drive.

Traditionally, the world has looked to the United States to lead the global economic recovery, on account of the size of its economy, its freedom of policy action given the international role of the US dollar and its long-established tradition of leadership in global economic diplomacy. The Federal Reserve System has provided significant US dollar liquidity through swap arrangements with other central banks, but these arrangements have not been extended to all Asian nations, and US leadership in global multilateral institutions is now less forthcoming and more transactional even after the Trump administration.

Asia must play a central role in recovery from this crisis, because of its large share of global output, its deep integration into global economic activity and its capacity for an early exit. East Asia, including India, accounted for over 34% of global GDP valued at market prices in 2019 and is now the world's biggest region in terms of purchasing power parity. The ASEAN+6 group is the natural choice for an Asian initiative on the COVID-19 crisis, incorporating six G20 members and anchored in the ASEAN arrangements (Armstrong et al., 2020).

Assembling the necessary scientific, medical and professional expertise to assist progress with the implementation of health, social and economic policy strategies will be important to constructive cooperation at all levels. Expert task forces engaging health, economic and business experts from each country established by the ASEAN-led group will be vital to providing advice and setting out pathways for governments. Task forces of experts can play an important role in engaging with the medical, business, labour and civil society groups in each country. For example, public health cooperation could focus on sharing best practices and supply of medical equipment. These can be supported at the medical professional and private sector level.

Collaboration among professionals needs to begin to plan for countries' opening borders after effective domestic control of COVID-19. Participating governments can issue public health certification to their citizens, who can then travel under-agreed quarantine guidelines to other participating countries. This program can be opened to any country willing to comply with the necessary public health requirements.

With ongoing Ministerial and Joint-Committee meetings around the RCEP Secretariat, there is an opportunity for Asia to cooperate on the health, supply-chain and trade-related dimensions of the ongoing COVID-19 pandemic. Once the recovery from the pandemic is complete, the same platform can be used to support the trade, economic and political cooperation which underpins open regionalism.

Digital economy

The digital economy is underpinning productivity growth, development and living standards globally. Indeed, the COVID-19 pandemic has accelerated the pace of digitalisation as countries adjust to social distancing and changes in the delivery of health and education services. New technologies like 5 G telecommunications and the growing importance of digital trade open new economic opportunities and security challenges for which no clear rules exist. Multilateral rules in the WTO may cover trade in goods adequately but are mostly non-existent for a large proportion of international commerce in the 21st century as services, investment, data flows and new forms of technology proliferate. The provisions in RCEP are a start but much more needs to be done. The

patchwork of rules from smaller agreements leaves major gaps at best and causes economic fragmentation at worst.

Digital transformation can only be harnessed as a driver of economic recovery and social development in Asia only if it is more effectively governed through multilateral agreements. These should include cybersecurity guidelines and assistance with 'cloud procurement' and 'cloud first' policies. Building trust in domestic and cross-border data flows with policies that address concerns over privacy, consumer protection, and security will also be critical. Current restrictions to cross-border data flows hamper the operation of these tools, delay the pandemic response and raise costs for business. These restrictions are usually imposed in pursuit of a range of regulatory goals, in particular, privacy, security, competition (which covers restrictions aimed at helping domestic industries), internet access and control, financial regulation and law enforcement.

The RCEP provisions on e-commerce and digital economy are similar to those included in the CPTPP, with stronger carve-outs for national security and public policy measures which may stifle the free flow of data and information. Despite being narrower in coverage than agreements such as the Australia–Singapore Digital Economy Agreement (DEA), this reflects the extent to which RCEP represents a consensus between countries of varying size and levels of development (Findlay and Pedrosa, 2020). Given that most RCEP economies, excluding Cambodia, Indonesia, the Philippines and Vietnam, are part of the WTO Joint Statement Initiative, the Agreement is a window into how any future multilateral agreement on e-commerce might be framed (Findlay and Pedrosa, 2020).

Despite their shortcomings, regional agreements with e-commerce provisions, such as RCEP, have a role to play in updating the global rules for the digital economy. Ensuring that subsequent agreements pursue an open regionalism approach will guarantee this global perspective is reflected in the future governance regime for the digital economy in Asia and the Pacific (Armstrong, Sta Maria, and Watanabe, 2021).

Energy transition

Although RCEP does not contain any specific environmental standards or provisions and climate change mitigation is outside the scope of the agreement, there is an opportunity to use the economic cooperation agenda to boost access to green technologies and help build cooperation on transition to cleaner energy sources. The Asia Pacific is one of the most climate-exposed regions in the world, with a patchwork of member economies having committed to Climate Goals. Japan, South Korea and China have all set 'net zero' emissions targets for 2050 or 2060, respectively. Still, RCEP remains critical to shaping the green transition and providing a regional response to climate change.

First, the agreement encourages technical cooperation among RCEP members in renewable energy, fuel sources and research and development. Asian economies boast strong technology and industrial bases and are a leading source of renewable investment. Ongoing ministerial and technical discussions under the auspices of RCEP could expand formerly bilateral attempts at coordinating investment in alternative fuel sources, such as hydrogen in the Australia–Japan Ministerial Dialogue in late 2020.

Second, the lowering of trade barriers and standardisation of rules of origin encourages foreign direct investment in green technologies and renewable ventures (Kalirajan and Liu 2016). Indeed, RCEP provisions on government procurement, intellectual property and other non-tariff trade barriers reduce uncertainties that might otherwise stymie the commercialisation of low-carbon technologies. This positive-sum framework will help facilitate the green transition without resorting to carbon tariffs or other trade barriers, which jeopardise the international trade regime, reduce efficiencies and are poorly targeted.

Third, the RCEP Ministerial and Joint Committee meetings offer scope to standardise Environmental, Social Governance (ESG) regulations across the Asia Pacific and in global bodies such as the WTO. Although Asia is gradually adopting ESG regulations, mobilising private capital for green investments is still limited by a lack of common standards, dearth of quality information, and maturity mismatches, all of which raise the search costs of investment in green assets.

While unilateral and bilateral efforts to develop a common green taxonomy is a first step in improving green finance and investment, they also risk fracturing the global ESG landscape and complicating the process of identifying green investment opportunities. Building on the EU–China development of a common green taxonomy, RCEP could provide multilateral pushback against the splintering of green governance and regulatory principles that have the potential to hinder cross-border technology flows and climate cooperation.

A regional framework for the belt and road initiative

The Master Plan on ASEAN Connectivity 2025 and other ASEAN initiatives do not provide a coordinated and consistent approach towards the Belt and Road Initiative (BRI) or other international infrastructure and connectivity initiatives. The BRI has been conceived and implemented largely bilaterally with China as a hub and recipients as spokes, even though the ultimate aim is to further connectivity along and among the Silk Road Economic Belt economies. Alongside the significant benefits that China's BRI has provided to recipient countries, there have been difficulties in its rollout globally with logistical, economic, political and financing challenges leading to scepticism and political pushback globally.

Getting a cooperative and coordinated approach to BRI and cross-border infrastructure investment in East Asia will provide lessons and a model for sustainable infrastructure investment beyond the region. China and Japan are cooperating on infrastructure investment in third country markets, while Australia, Japan and the United States have also initiated cooperative approaches that attempt to mobilse the private sector.

Issues around project assessment, sustainable debt, environmental impact and dispute mediation and resolution are of interest to both providers and recipients of investment capital. A coherent and consistent ASEAN response to BRI would insulate the individual ASEAN members and the investment projects from perceptions of weak governance or corruption, reduce the likelihood of failed projects and deliver higher returns to Chinese investments and the recipient communities. This cooperation can easily be expanded to consistent approaches to cross-border infrastructure investment, and the principles and the framework for cooperation can be multilateralism.

The RCEP grouping and its economic cooperation arrangements provide a congenial membership and framework to integrate the cross-border infrastructure investment issues into a broader connectivity agenda. With economies that provide capital, capacity to manage projects, and access to major financial markets and their disciplines, alongside a range of recipient countries with varying capacities to regulate and manage those investments. Many issues that surround the management of cross-border infrastructure include governance and capacity constraints that are not suited to negotiated outcomes. Instead, confidence and trust building around a common set of interests can be pursued in a cooperation framework.

China and Japan's joint infrastructure projects in third country markets – including in Southeast Asia, where many of the over 50 projects are located – is an example of how Chinese policymakers are open to working to the quality infrastructure standards that Japan made explicit in the G7 and later G20, and which China signed on to. Japanese experience of infrastructure investment abroad could be brought to bear on and help shape China's BRI without Japan formally joining BRI (Armstrong, 2018). The Australia-Japan-United States Blue Dot initiative and other initiatives can be managed alongside BRI with ASEAN as an important mediator and beneficiary through RCEP and APEC cooperation processes. China–US strategic competition may mean cooperation in APEC is fraught, and not all ASEAN members are party to APEC. RCEP cooperation should aim to foster broader multilateral cooperation in APEC and elsewhere.

Engagement with India and non-members

The RCEP group can develop and define a protocol of engagement with India which keeps open a path for eventual Indian membership of the grouping and actively promotes cooperation with South Asia in the meantime. This will help to keep markets open to Indian suppliers and ensure medical, food and energy supplies to India that help it manage the health and economic challenges it faces from the pandemic. As India is a potentially important producer of a vaccine and supplier of equipment, maintaining Indian openness to foreign investment and exports will be crucial in the global effort to fight the pandemic and sustain India's recovery.

RCEP can realise open regionalism – regional cooperation that does not come at the expense of non-members – with structures that are open and flexible and that engage external interests. That cooperation can be extended without compromising on the core RCEP goal of deepening regional integration, but in fact entrench it. The RCEP grouping is systemically important enough to the global economy that its interests would be best served with an inclusive approach that deepens trans-Pacific and trans-Asian economic integration.

The economic cooperation agenda can be used flexibly to involve key non-member countries and economies around issues where economic cooperation is mutually beneficial. The cooperation around recovery from COVID-19, the digital economy, energy transition and infrastructure investment are not exclusive to RCEP members.

Building understanding and confidence in economic integration through areas of mutual interest with non-RCEP countries that are in close proximity to the RCEP grouping can help socialise East Asian economic integration and the expansion of

value chains to South Asia, for example. That would prepare for possible eventual return of India to RCEP and facilitate expansion of membership in South Asia and beyond.

RCEP and the agenda for continuing Chinese reform

The RCEP agreement is the largest formal economic agreement that China is party to, outside the WTO. The reforms and liberalisation that China committed to in RCEP will extend market opening in China and lift its trade and economic performance. Doing so with commensurate market opening in key East Asian economic partners and with consistent rules will deepen regional economic integration.

China and East Asia's economic interests are global. The reforms and market opening that RCEP facilitates will have more impact if extended multilaterally, beyond the RCEP membership. That is especially so for a very large economy like China. Like ASEAN and East Asian regional cooperation in the past, RCEP can deepen integration into the global economy through deepening outward-oriented regional integration, via open regionalism. RCEP and its cooperation framework provides a platform for trialling further reforms, building consensus and rule-making, as well as multilateralising those commitments and rules. There is an opportunity to phase-in most favoured nation provisions into RCEP.

President Xi Jinping has indicated interest in China's membership of the Trans-Pacific Partnership, currently in the form of CPTPP. That agreement, even with some provisions excluded in CPTPP, has high hurdles to entry. The TPP provisions have significant implications for SOE reform, strengthening intellectual property protections and environmental and labour standards in China. A strong economic rationale for China joining the TPP is to mobilise the external pressure for domestic reform, consistent with China's strategy in WTO accession.

The reforms that need to be undertaken for TPP membership can be trialled and demonstrated in the RCEP framework for China. In its long march to WTO accession, China undertook major unilateral reforms and liberalisation to demonstrate its commitment to openness. For example, China's then President Jiang Zemin announced the halving of all tariffs in one year at the Osaka APEC summit in 1995 and carried through on that commitment. The RCEP economic cooperation framework provides a platform similar to APEC then for China with TPP members party to RCEP arrangement having significant incentive to assist China in its commitment to SOE and other reform. This will in time elevate the prospects for a Free Trade Agreement of Asia and the Pacific (FTAAP) that engages the United States.

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